



Office of Public Affairs
U.S. Department of Justice



Medicare Advantage Provider Seoul Medical Group and Related Parties to Pay Over \$62M to Settle False Claims Act Suit

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For Immediate Release

Office of Public Affairs

Seoul Medical Group Inc. and its subsidiary Advanced Medical Management Inc., headquartered in California, have agreed to pay \$58,740,000 and their former president and majority owner, Dr. Min Young Cha, has agreed to pay \$1,760,000 for allegedly violating the False Claims Act by causing the submission of false diagnosis codes for two spinal conditions to increase payments from the Medicare Advantage program. Renaissance Imaging Medical Associates Inc., a California-based radiology group that worked with Seoul Medical, has also agreed to pay \$2,350,000, for allegedly conspiring with Seoul Medical Group in connection with the false diagnoses for the two spinal conditions.

Under Medicare Advantage, also known as the Medicare Part C program, Medicare beneficiaries have the option of enrolling in managed care insurance plans called Medicare Advantage Plans (MA Plans) and the MA Plans contract with healthcare providers, such as Seoul Medical Group, to provide the Medicare-covered benefits. MA Plans are paid a per-person amount to provide the care to their enrollees and, in turn, the MA Plans pay the providers. The Centers for Medicare and Medicaid Services (CMS), which oversees the Medicare program, adjusts the payments to MA Plans based on demographic information and the health diagnoses of each plan beneficiary. The adjustments are commonly referred to as “risk scores.” In general, a beneficiary with diagnoses that are more expensive to treat will have a higher risk score, and CMS will make a larger risk-adjusted payment to the MA Plan for that beneficiary.

Seoul Medical Group is a healthcare provider that started in 1993 in Los Angeles and has since expanded into at least six states and has employed at times 150 primary care providers and 1,000 specialists. Dr. Min Young Cha started Seoul Medical Group and until 2023 was president and majority owner.

Allegedly, from 2015 to 2021, Seoul Medical Group and Dr. Cha submitted diagnoses for two severe spinal conditions, spinal enthesopathy and sacroiliitis, for patients who did not suffer from either of

these conditions. When Seoul Medical Group was questioned by an MA Plan about its use of spinal enthesopathy, Seoul Medical Group enlisted the assistance of Renaissance Imaging Medical Associates to create radiology reports that appeared to support the spinal enthesopathy diagnosis. Both diagnoses resulted in an increase in payment from CMS to the MA Plan, and the MA Plan then passed along a portion of the increased payment to Seoul Medical Group.

"Medicare Advantage is a vital program for our seniors and the government expects healthcare providers who participate in the program to provide truthful and accurate information," said Acting Assistant Attorney General Yaakov M. Roth of the Justice Department's Civil Division. "Today's result sends a clear message to the Medicare Advantage community that the United States will zealously pursue appropriate action against those who knowingly submit false claims for taxpayer funds."

"My office is committed to ensuring that healthcare providers are held accountable for unlawful misrepresentations to Medicare and other healthcare programs," said Acting U.S. Attorney Joseph T. McNally for the Central District of California. "As this settlement makes clear, we will diligently pursue those who defraud government programs."

"Providers who game the Medicare program to increase profit undermine the foundation of care and diminish patient trust in the nation's public health care system," said Deputy Inspector General for Investigations Christian J. Schrank of the Department of Health and Human Services Office of Inspector General (HHS-OIG). "HHS-OIG will continue to collaborate with our law enforcement partners and rigorously probe false claims to the fullest extent possible."

The civil settlement resolves claims brought under the *qui tam* or whistleblower provisions of the False Claims Act by Paul Pew, the former Vice President and Chief Financial Officer of Advanced Medical Management. Under those provisions, a private party can file an action on behalf of the United States and receive a portion of any recovery. The *qui tam* case is captioned *U.S. ex rel. Pew v. Seoul Medical Group, Inc., et al.*, No. 2:20-cv-05156 (C.D. Cal.). The relator's share of the settlement has not yet been determined.

The resolution obtained in this matter was the result of a coordinated effort between the Justice Department's Civil Division, Commercial Litigation Branch, Fraud Section, and the U.S. Attorney's Office for the Central District of California, with assistance from the Department of HHS-OIG.

The investigation and resolution of this matter illustrates the government's emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement, can be reported to the Department of Health and Human Services at 800-HHS-TIPS (800-447-8477).

The matter was investigated by Fraud Section Attorneys J. Jennifer Koh and Robbin O. Lee and Assistant U.S. Attorney Karen Paik for the Central District of California.

The claims resolved by the settlement are allegations only and there has been no determination of liability.

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